knowledge can be slowly constructed through a systematic process of experimentation.

As an example, suppose SEBI believes that there are problems in the world of high-frequency trading, and suppose there is an intent of unveiling an intervention into the world of high-frequency trading. SEBI could choose a set of twenty randomly selected medium-sized firms, and the intervention could be rolled out for a period of one year for these twenty firms. This would permit a comparison between these ‘treated’ stocks and a set of similar ‘control’ stocks where no intervention was made, to assess the extent to which the intervention was useful. Once this is known, the intervention can either be scaled up or rolled back, based on empirical evidence about what works. This is analogous to the ‘beta testing’ that private firms do, where new products are tested out before they are rolled out more widely.

In the US, the securities regulator, the Securities and Exchange Commission (SEC), regularly undertakes policy experimentation in this fashion. [2] As an example of the difficulties in India, consider the problem of cash-settled versus physically settled derivatives. Single stock derivatives were cash-settled from their launch in 2001 onward, and this system had worked well. In 2017, SEBI decided to force these to be shifted from cash settlement to physical settlement. This is a major action, which has a substantial impact upon the life of market participants. The decision was taken without identifying a market failure, measurement or experimentation. There was no ex post review, so we do not know the magnitude of the adverse impact of this decision upon market quality.

The approach to experimentation is one valuable feature of the Chinese experience. The word *ShiDian* is used in China for ‘Policy Experimentation’ or ‘Policy Piloting’. This refers to political–administrative procedures that discover and test novel instruments and thereby propel policy innovation or institutional adaptation. The Chinese have engaged in spatially, sectorally and temporally limited policy trials so as to reduce the risk and cost of major reforms.